philanthropy is rare. Whether or not a sacrifice of capital for this purpose is conducive to the economic welfare of the country as a whole is a moot point also, but it is not within our province to discuss it here. Our object has been to clarify the issue and to stress the fact that a market price below liquidating value has special significance to the stockholders and should lead them to ask their management some searching questions.

Management May Properly Take Some Interest in Market Price for Shares. Managements have succeeded very well in avoiding these questions with the aid of the time-honored principle that market prices are no concern or responsibility of theirs. It is true, of course, that a company's officers are not responsible for fluctuations in the price of its securities. But this is very far from saying that market prices should *never* be a matter of concern to the management. This idea is not only basically wrong, but it has the added vice of being thoroughly hypocritical. It is wrong because the marketability of securities is one of the chief qualities considered in their purchase. But marketability must presuppose not only a place where they can be sold but also an opportunity to sell them at a *fair price*. It is at least as important to the stockholders that they be able to obtain a fair price for their shares as it is that the dividends, earnings and assets be conserved and increased. It follows that the responsibility of managements to act in the interest of their shareholders includes the obligation to prevent—in so far as they are able—the establishment of either absurdly high or unduly low prices for their securities.

It is difficult not to lose patience with the sanctimonious attitude of many corporate executives who profess not even to know the market price of their securities. In many cases they have a vital personal interest in these very market prices, and at times they use their inside knowledge to take advantage in the market of the outside public and of their own stockholders.[3] Not as a startling innovation but as a common-sense

[3] This reached such scandalous proportions "in the good old days" that the Securities Exchange Act of 1934 made "insiders" accountable to the corporation for profits realized on purchases and sales, or *vice versa*, completed within a six months' period. Enforcement must be through a stockholder's suit. This provision has been bitterly criticized in Wall Street as preventing legitimate activities of officers and directors, including support of the market price at critical times. Our own view is that, on balance, both logic and practicality are against the provision as it now stands. Publicity of operations—perhaps immediate rather than monthly—should supply a sufficient safeguard against fraud and a check upon questionable conduct.